INVEST & PROSPER
MUTUAL FUND DISTRIBUTION HOUSE

WEALTH CREATION THROUGH MARKET CYCLES

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Wealth Creation Through Market Cycles

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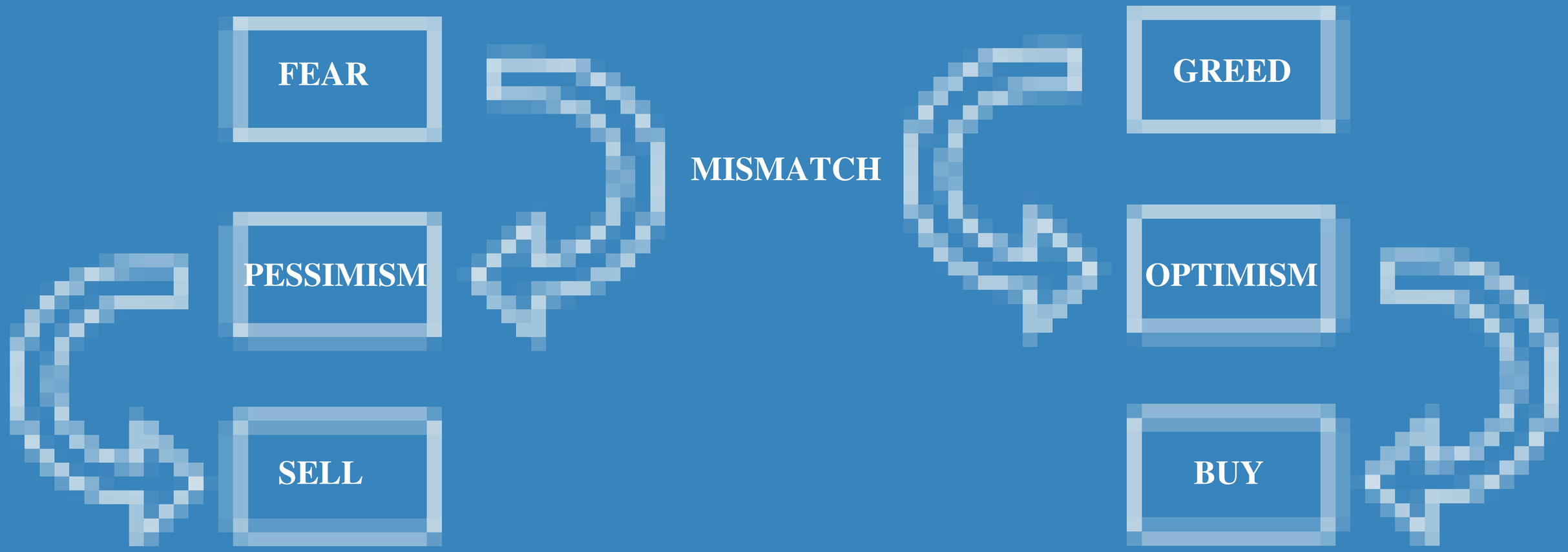

Balanced Approach is necessary; Don't be overly greedy or afraid.

Wealth is created when you remain invested throughout the cycle.

Understanding Market Cycles

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One cannot predict the top or bottom of a market cycle.

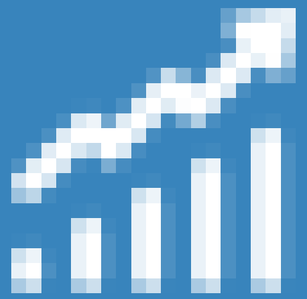
Certain market cycles tend to last longer than the others, which may often lead investors to lose patience.

A proper understanding of various market phases shall certainly aid and support one’s efforts to build long-term wealth.

Examining Market Cycles in the Past

2000-2007

Era of Inflation moving from Low to High



2007-2013

Era of Sticky Inflation & Consolidation

2013-2020

Era of Inflation moving from high to low

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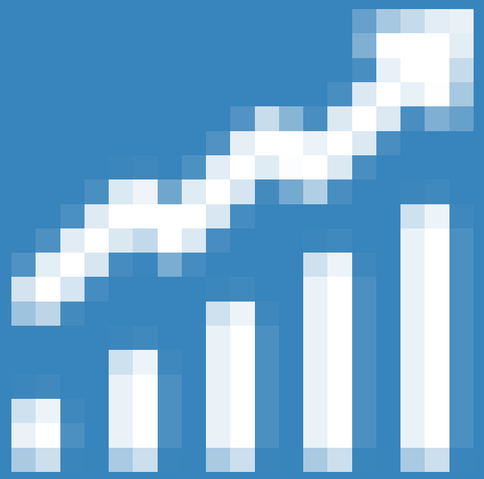
2000-2007

Era of Inflation moving from Low to High



India recorded high GDP Growth rate from 3.80% to 7.70%

All around improvement in mining, manufacturing and services sectors, helped to offset the slower growth in agriculture sector.

Crude Oil prices increased by more than 130%, it went from $30.38 to $72.34

As India imports 85% of its oil requirements, further increasing the Input prices.

Increased price of food articles.

Increased demand as well as supply constraints caused by stagnant agricultural productivity.

Low interest rates and easy liquidity-led boom.

Central banks across the world adopted loose monetary policy, providing the required liquidity to boost economic activity.

Key Indicators of Bull Run in 2000-2007

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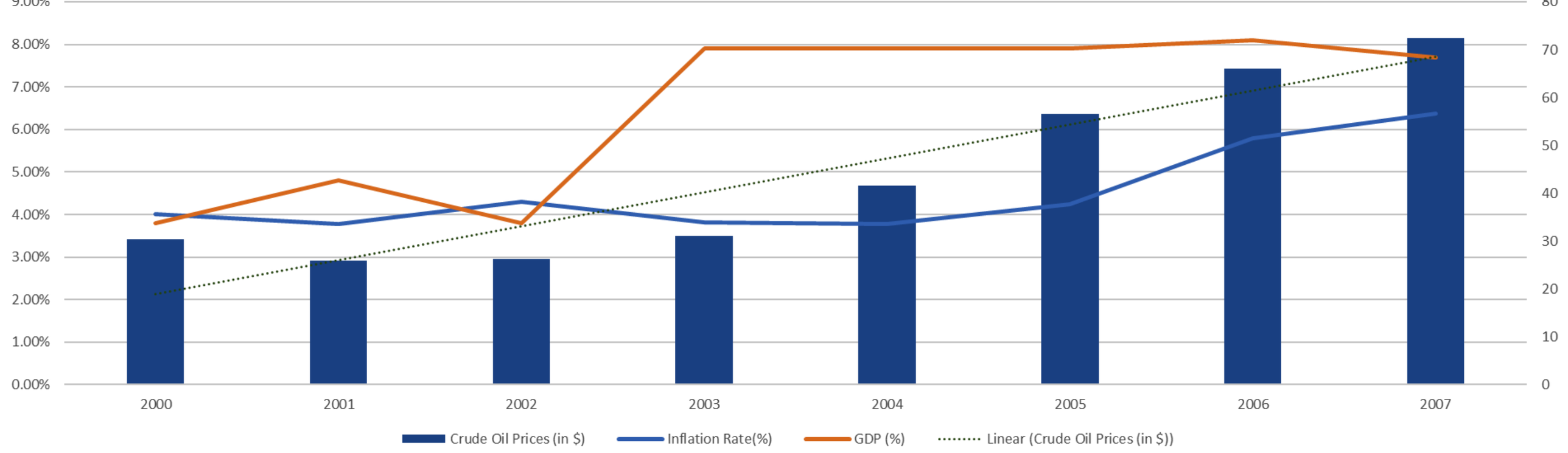
INFLATION From 4.01% to 6.37%	IIP INDEX From 6.70% to 11.50%	DISPOSABLE INCOME From 18.74Trill. to 39.77Trill.	CRUDE OIL PRICES From $30.38 to $72.34
GDP GROWTH From 3.80% to 7.70%	GOLD PRICE From 4400 to 10800	EXCHANGE RATE From 44.94 to 41.35	FOREX RESERVES From $38.04B to $199.18B
GFCF From 26% to 36%	CAD From -1.20% to -1.02%	FD RATE From 6.63% to 7.5-9.50%	MANUFACTURING OUTPUT From 15.93% to 16.86%
FISCAL DEFICIT From 5.18% to 3.32%	LENDING RATE From 12.29% to 13.02%	GROSS DOMESTIC SAVINGS From 24.30% to 34.40%	MARKET From 3972.12 to 20286.99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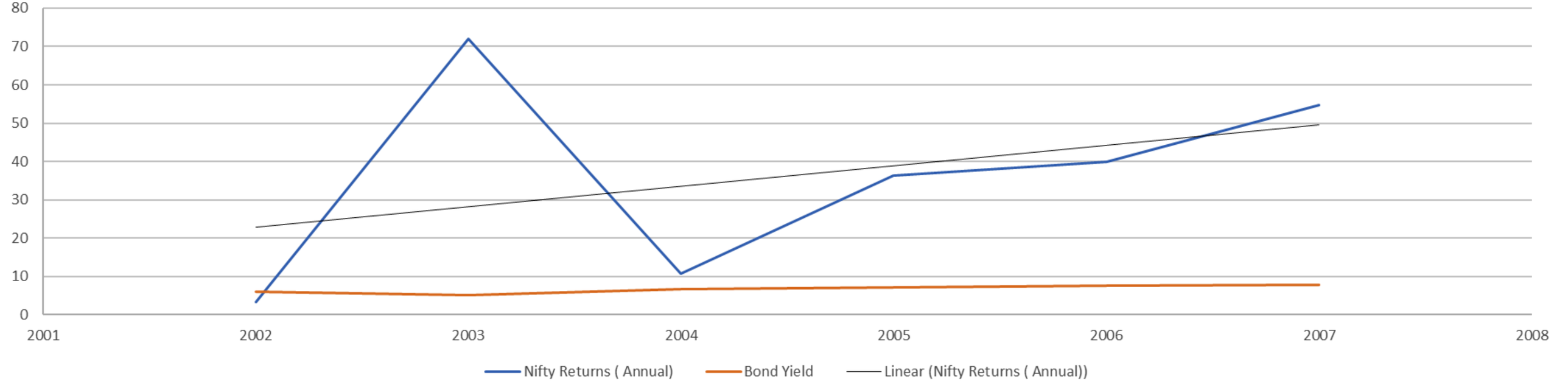
Crude Oil Prices (in $)
Inflation Rate(%)
GDP (%)
Linear (Crude Oil Prices (in $))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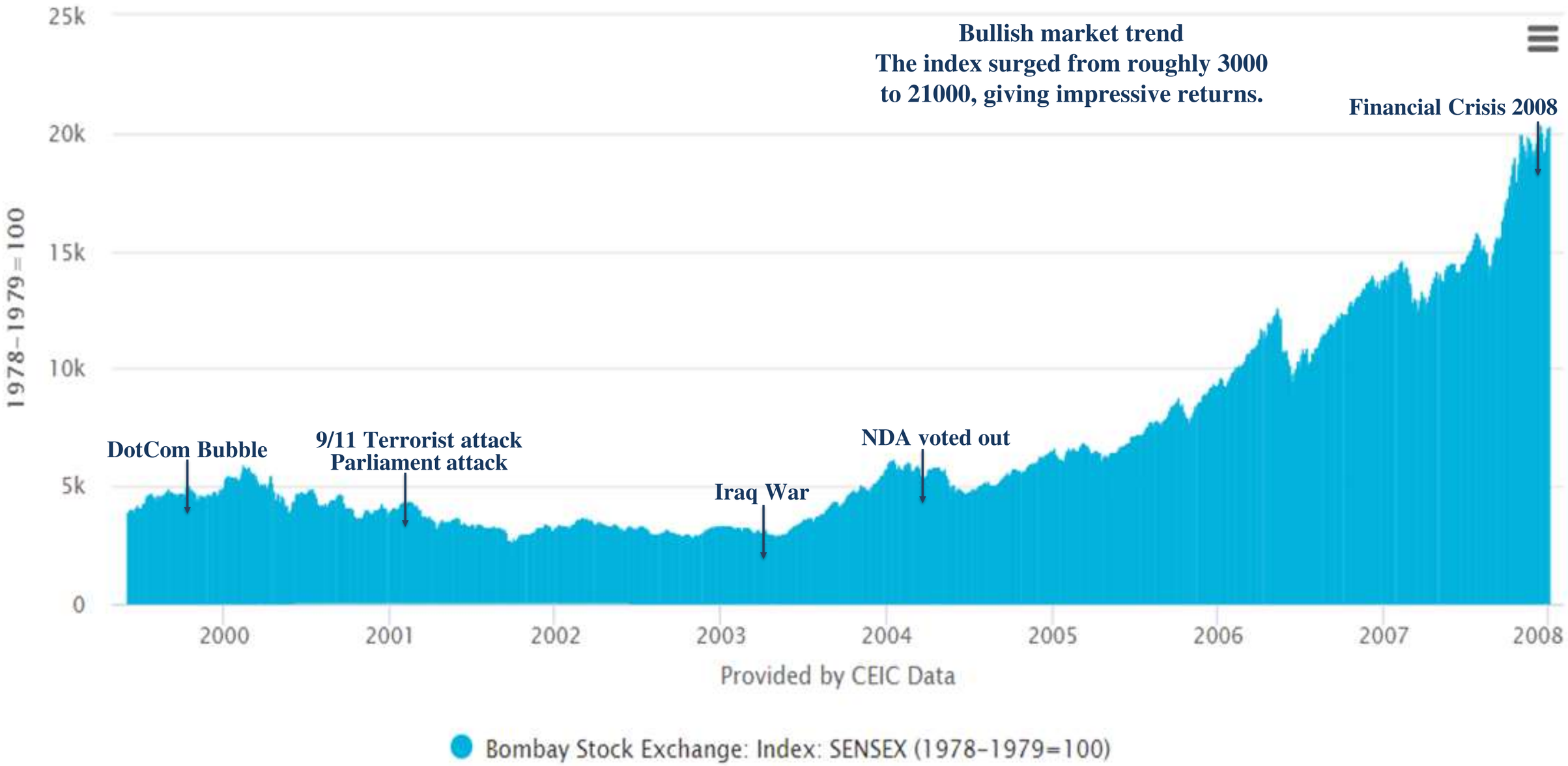
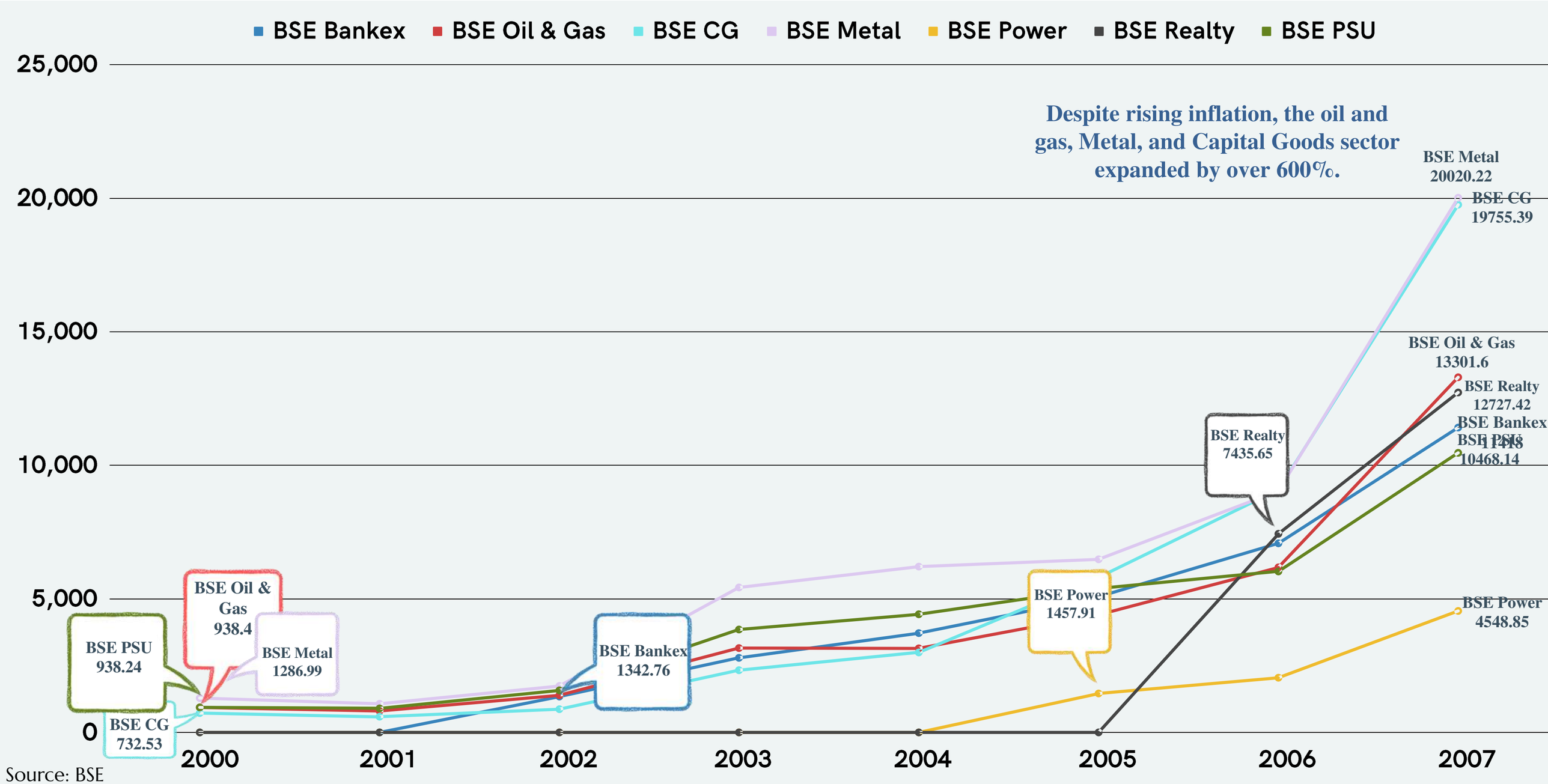
Nifty Returns (Annual)
Bond Yield
Linear (Nifty Returns (Annual))

SENSEX



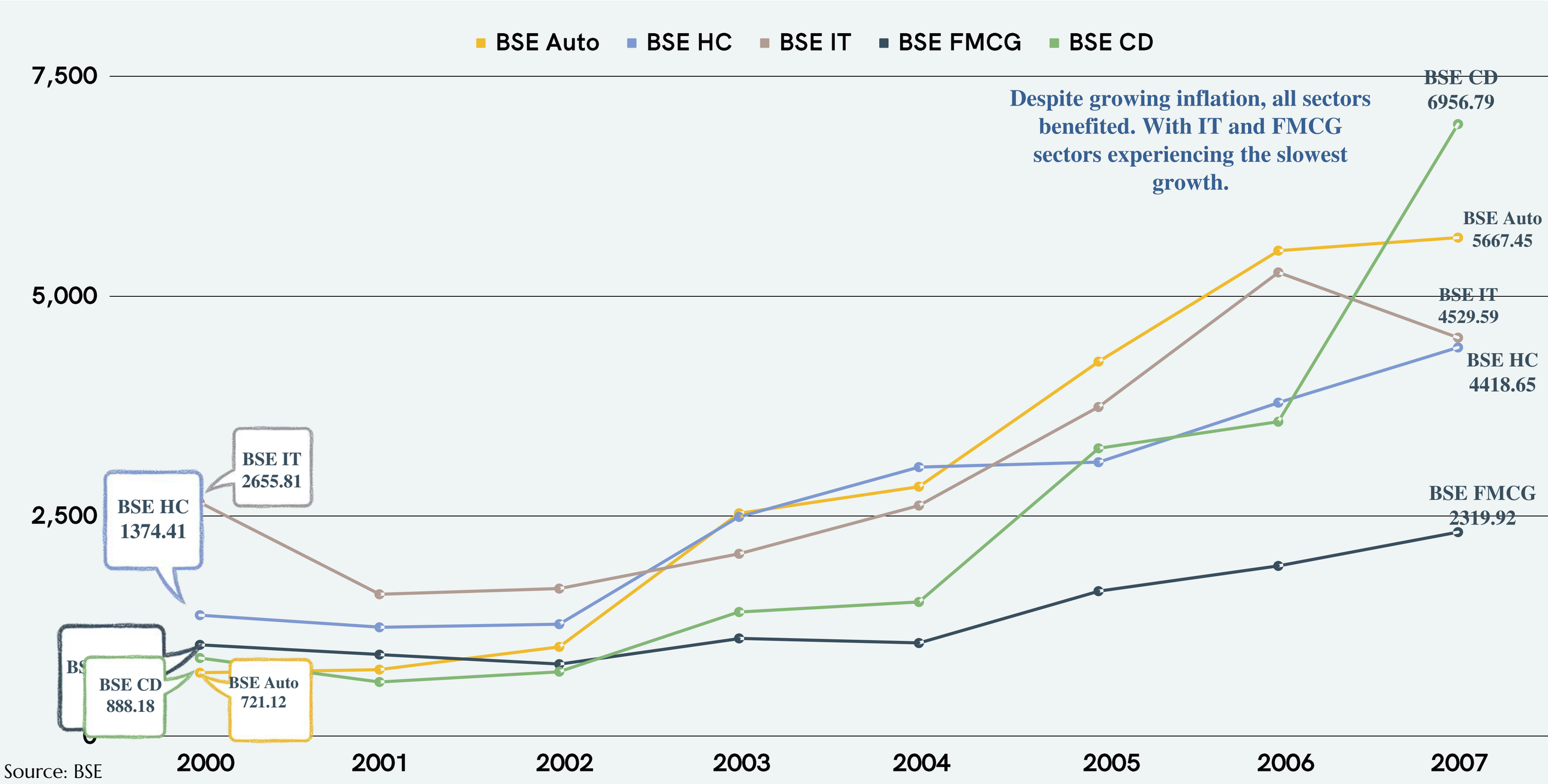
Source: ISI Emerging Markets

SECTORAL INDICES



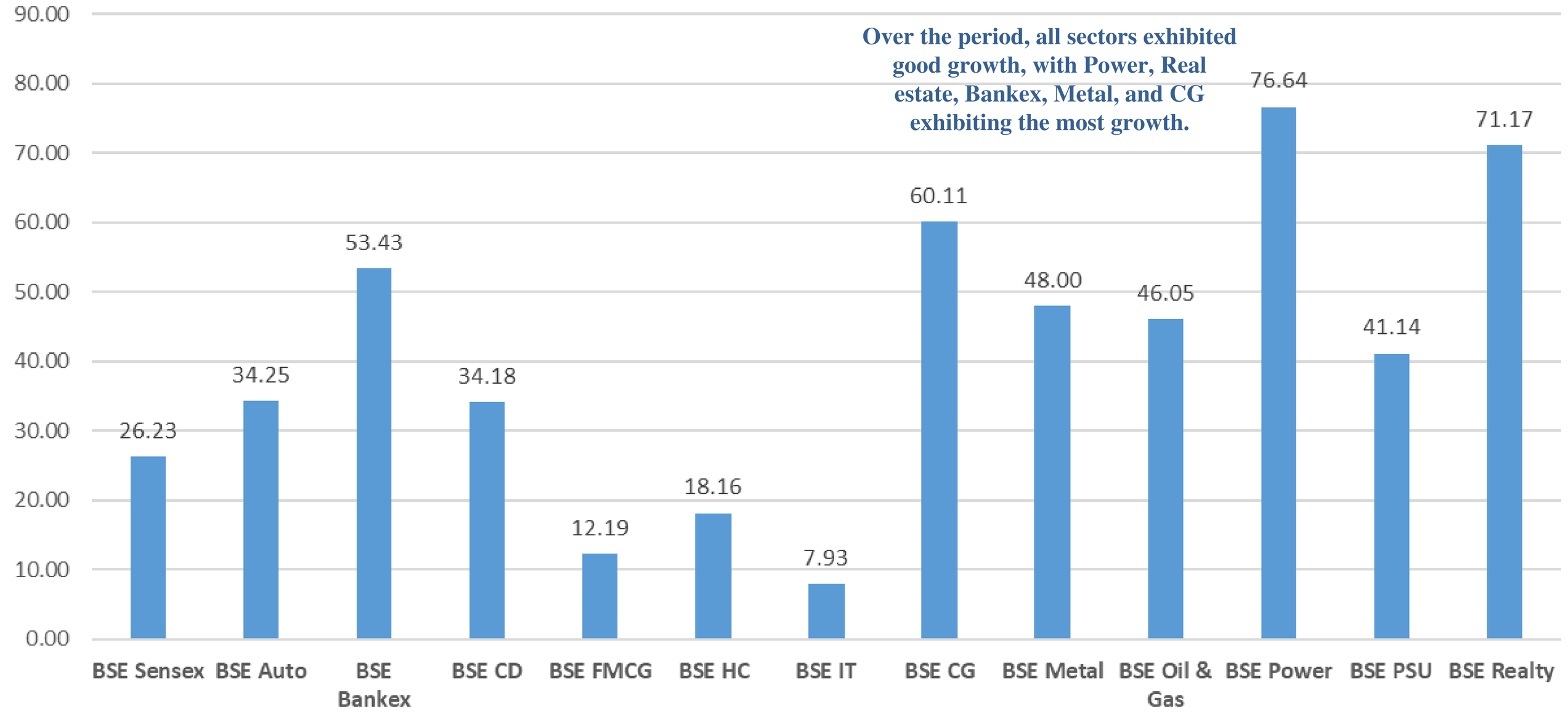
Source: BSE

SECTORAL INDICES



Source: BSE

CAGR % (2000-2007)



CONCLUSION

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THE CYCLICAL SECTORS PERFORM BETTER THAN OTHER SECTORS AND INFLATION IS GOOD WHEN:

GDP GROWTH RATE ↑

FISCAL DEFICIT ↓

GROSS FIXED CAPITAL FORMATION ↑

IIP INDEX ↑

DISPOSABLE INCOME ↑

FOREX RESERVES ↑

MANUFACTURING OUTPUT ↑

CYCLICAL SECTORS SUCH AS METAL, POWER, REAL ESTATE, CG DO WELL.

Top Mutual Fund Schemes Performance

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	3rd Jan, 2000	29th Dec, 2000	31st Dec, 2001	31st Dec, 2002	31st Dec, 2003	31st Dec, 2004	30th Dec, 2005	29th Dec, 2006	31st Dec, 2007	BASE (2000)
Franklin India Bluechip Fund- Growth	55.29	22.43	18.81	23.31	51.42	64.07	90.48	131.67	194.09	55.29
% Gain		-59.432	-65.979	-57.840	-6.999	15.880	63.646	138.144	251.040	
ICIC Prudential FMCG Fund- Growth	12.99	10.21	8.98	8.07	12.85	16.72	32.48	40.47	57.77	12.99
% Gain		-21.401	-30.870	-37.875	-1.078	28.714	150.038	211.547	344.727	
Nippon India Growth Fund	39.81	24.2	19.75	30.76	78.64	112.12	189.18	266.74	471.73	39.81
% Gain		-39.211	-50.389	-22.733	97.538	181.638	375.207	570.033	1084.954	
Franklin India Prima Fund	38.11	19.64	19.95	29.08	80.59	109.93	174.03	214.36	316.5	38.11
% Gain		-48.465	-47.652	-23.695	111.467	188.454	356.652	462.477	730.491	

2007-13

Era of Sticky Inflation & Consolidation

GDP Growth rate declining.

The GDP growth rate fell from 7.7% to 6.4%, while Gross Fixed Capital Formation fell from 36% in 2007 to 31% in 2013.

Poor Sectoral Performance.

The sector's performance was hindered by rising inflation and slow GDP growth. Capital goods, metals, consumer durables, Oil & gas, power, PSU, and Real estate all had negative growth.

Increased price of food articles.

The drought of 2009 stoked food prices while higher demand for protein-based products like eggs, fish and milk created protein inflation of a structural nature.

Key Points of 2007-2013

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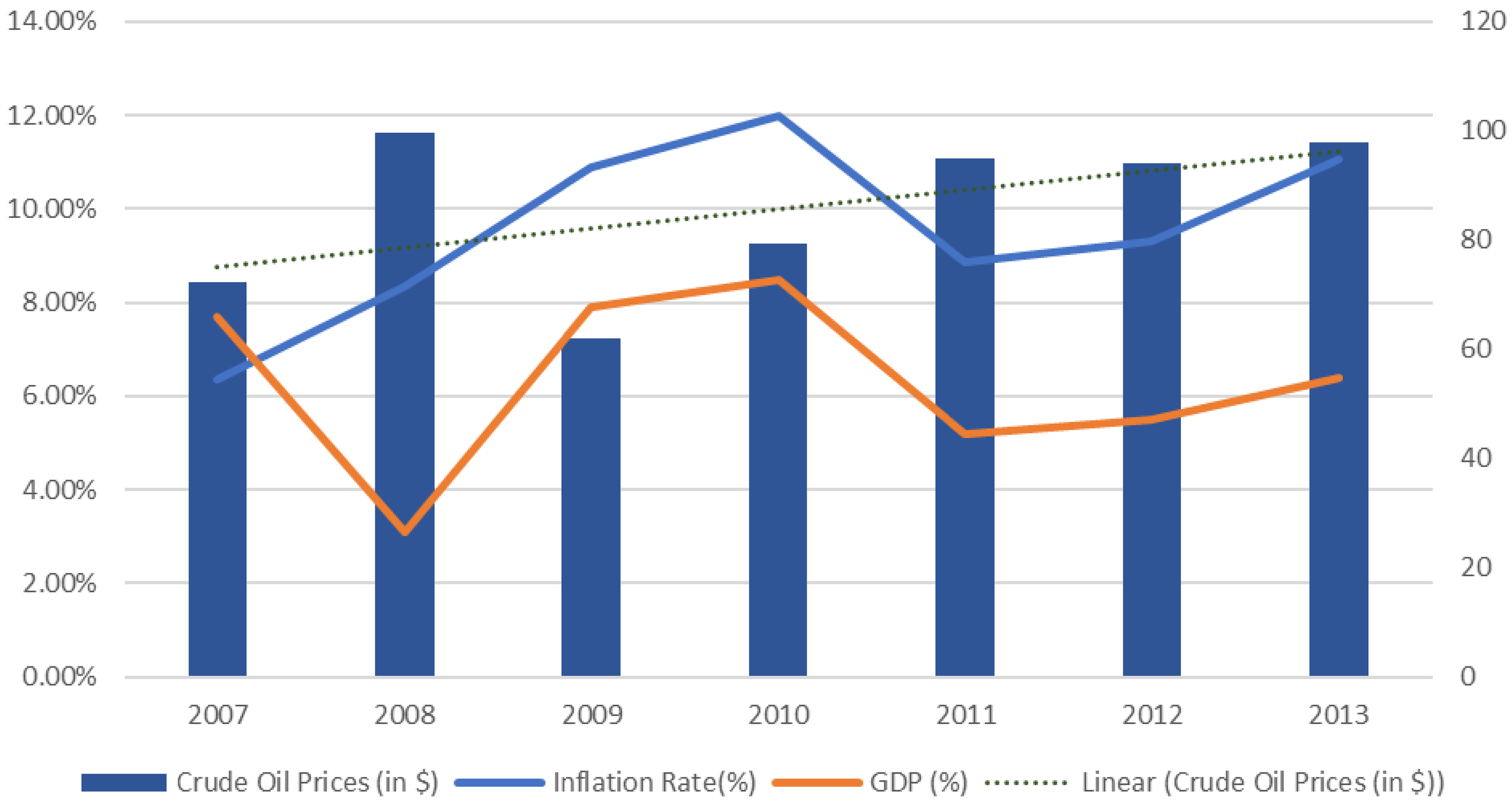
INFLATION From 6.37% to 11.06%	IIP INDEX From 11.50% to 1.10%	DISPOSABLE INCOME From 39.77Trill. to 93.3Trill.	CRUDE OIL PRICES From $72.34 to $97.98
GDP GROWTH From 7.70% to 6.40%	GOLD PRICE From 10800 to 29600	EXCHANGE RATE From 41.35 to 56.57	FOREX RESERVES From $199.18B to $292.05B
GFCF From 36% to 31%	CAD From -1.02% to -4.82%	FD RATE From 7.5-9.50% to 8.75-9%	MANUFACTURING OUTPUT From 16.86% to 15.25%
FISCAL DEFICIT From 3.32% to 4.90%	LENDING RATE From 13.02% to 10.29%	GROSS DOMESTIC SAVINGS From 34.40% to 32.10%	MARKET From 20286.99 to 21170.68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2007
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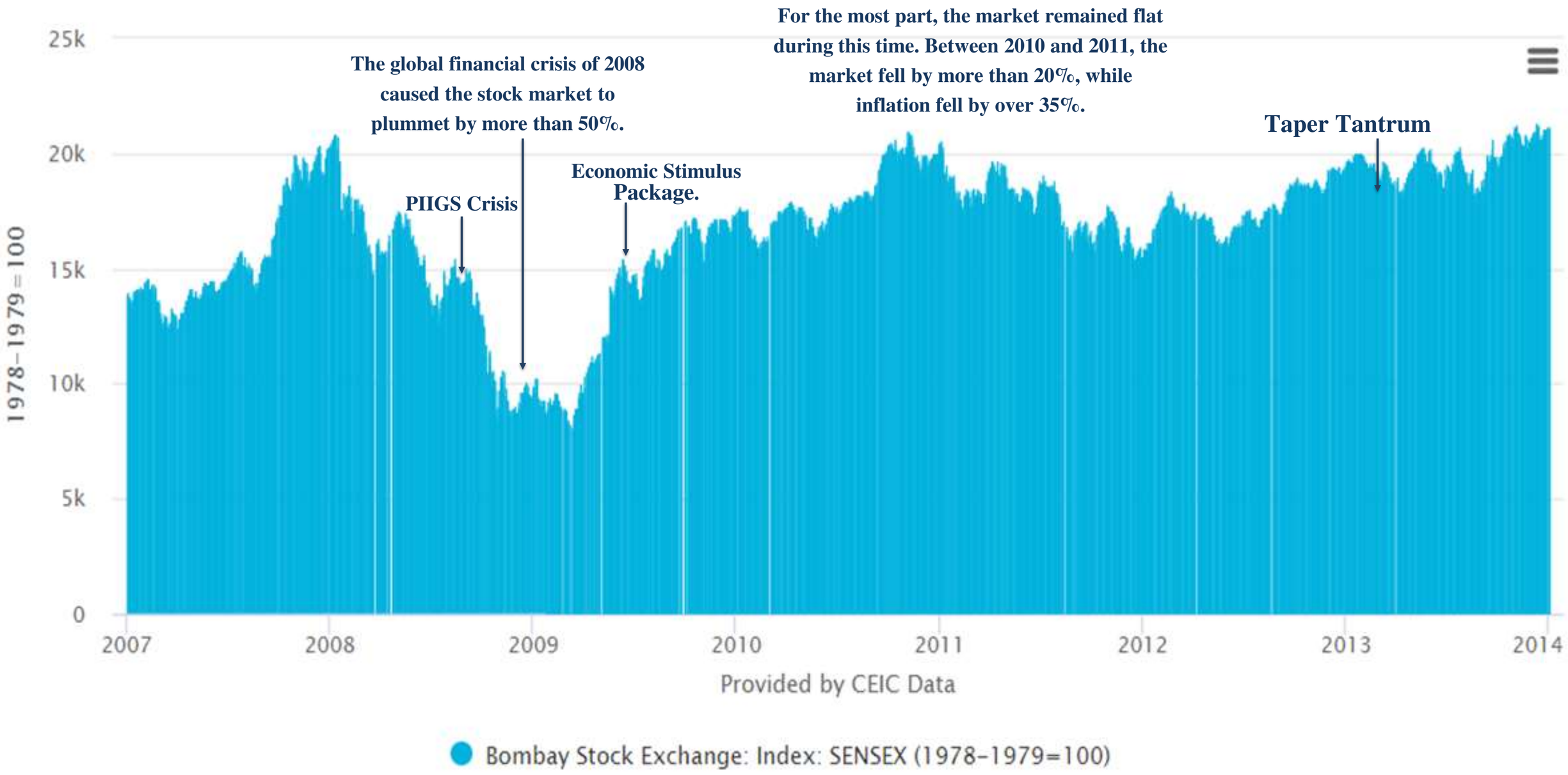
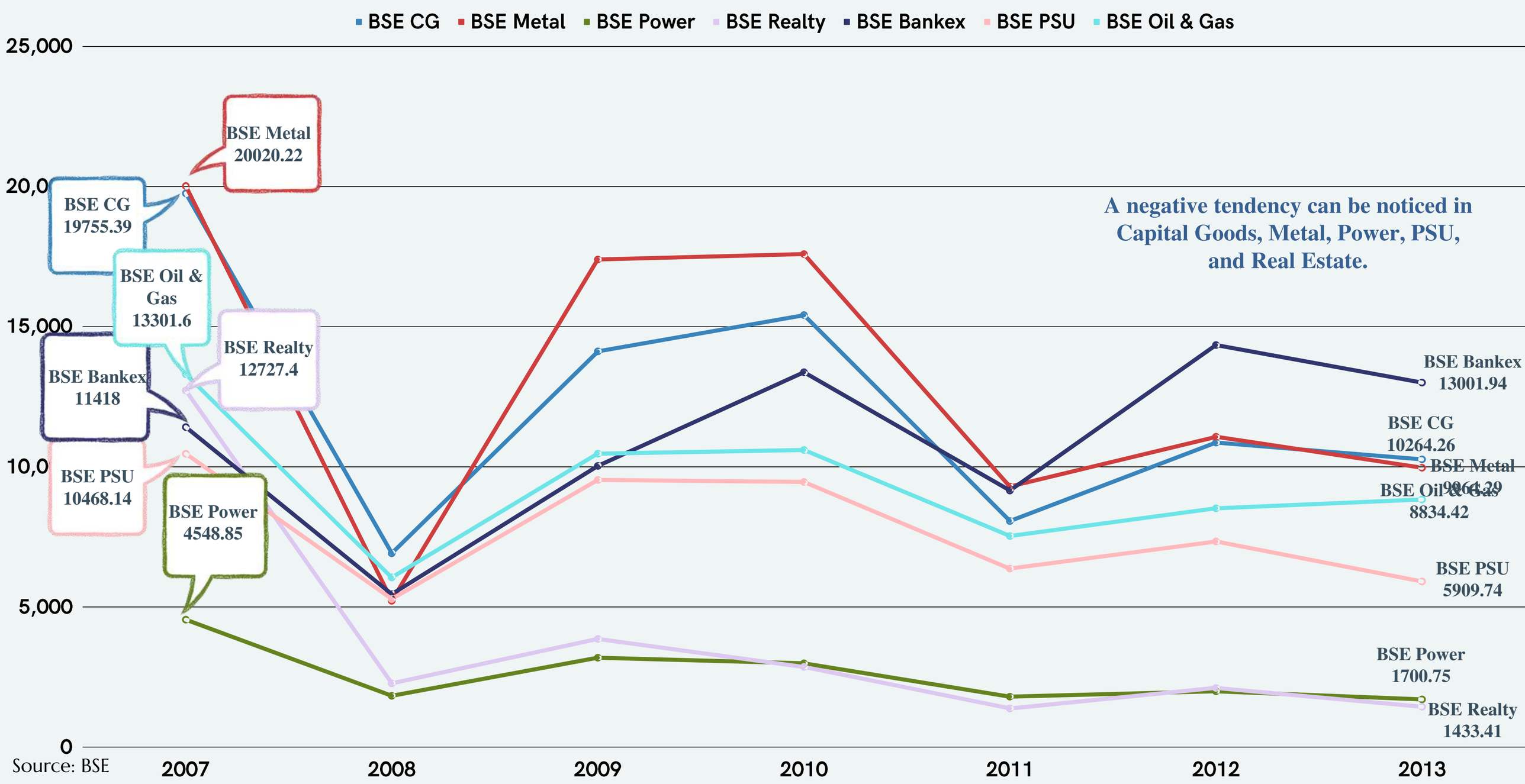
2011
2012
2013
Crude Oil Prices (in $)
Inflation Rate(%)
GDP (%)
Linear (Crude Oil Prices (in $))

SENSEX



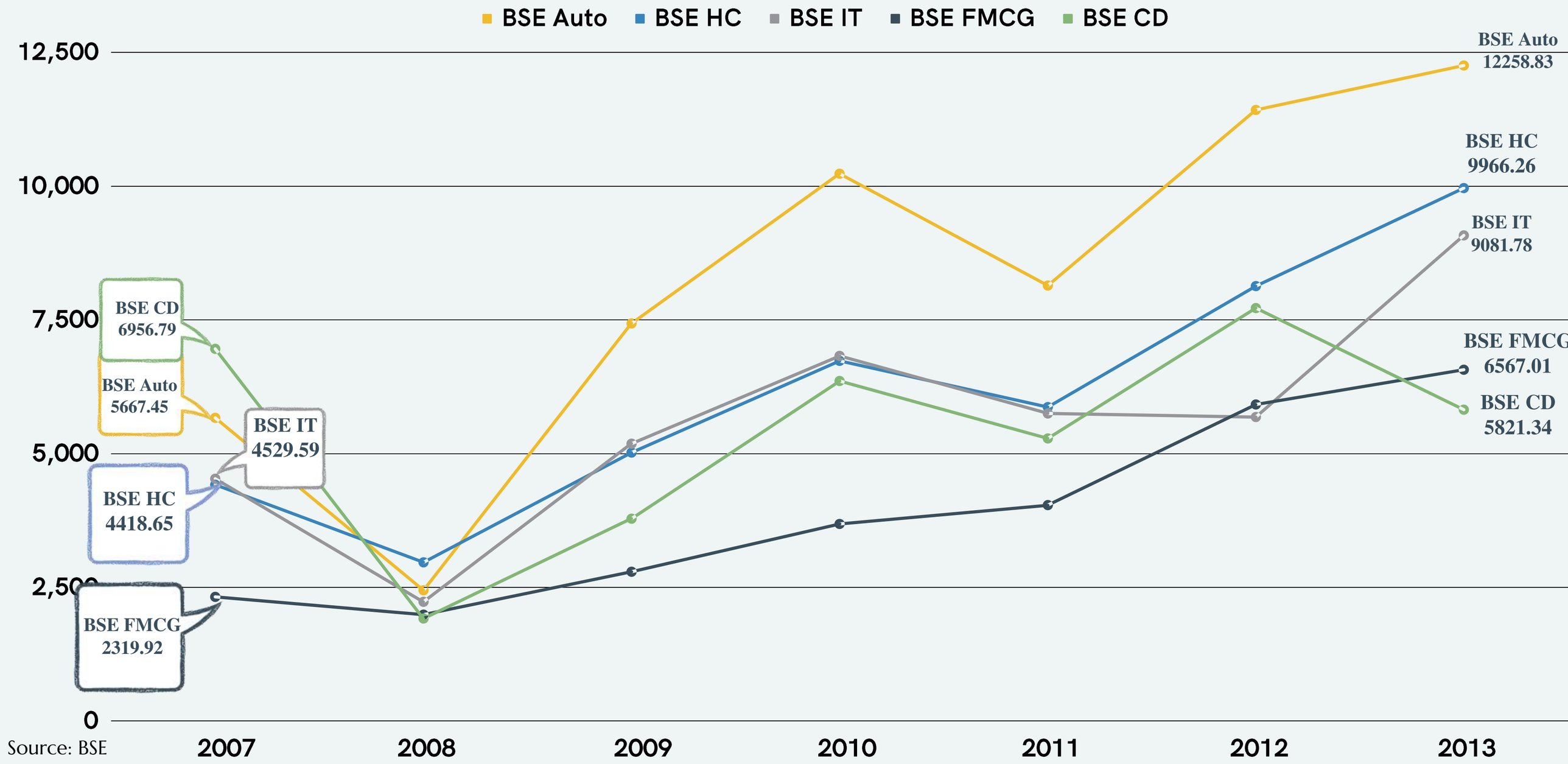
Source: ISI Emerging Markets

LAGGARD SECTORS



Source: BSE

PERFORMING SECTORS



Source: BSE

CAGR % (2007-2013)

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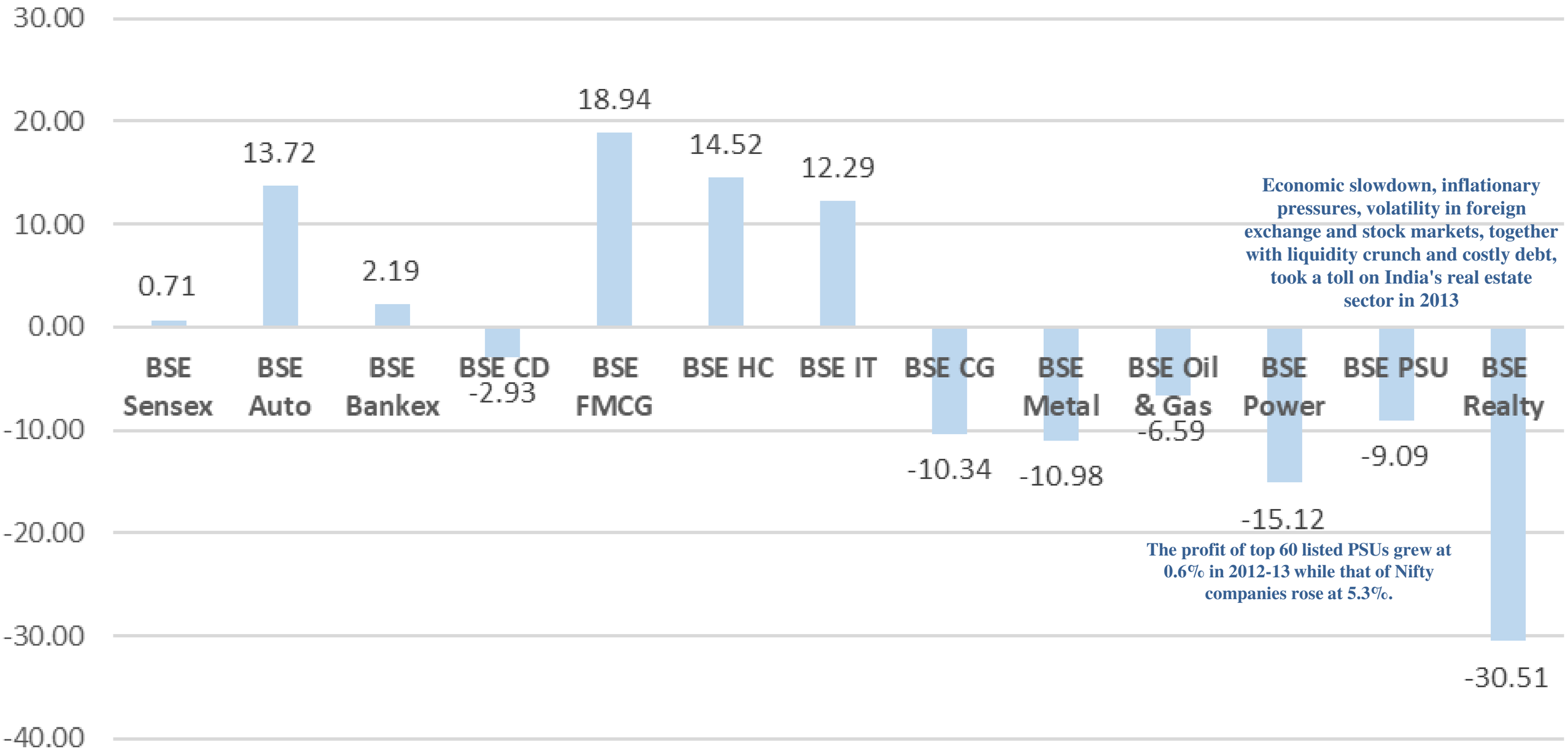

CONCLUSION

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THE DEFENSIVE SECTORS PERFORM BETTER THAN OTHER SECTORS, AND INFLATION IS BAD WHEN:

GDP GROWTH RATE ↘

FISCAL DEFICIT ↗

GROSS FIXED CAPITAL FORMATION ↘

IIP INDEX ↘

RUPEE VALUE ↘

CRUDE OIL PRICES ↗

MANUFACTURING OUTPUT ↘

DEFENSIVE SECTORS SUCH AS FMCG, HEALTHCARE DO WELL.

Top Mutual Fund Schemes Performance

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MUTUAL FUND DISTRIBUTION HOUSE

	2nd Jan, 2007	31st Dec, 2007	31st Dec, 2008	31st Dec, 2009	31st Dec, 2010	30th Dec, 2011	31st Dec, 2012	31st Dec, 2013	BASE(2007)
ICIC Prudential Infrastructure Fund	18.63	35.69	17.26	29.05	31.95	22.04	27.66	26.27	18.63
% Gain		91.573	-7.354	55.931	71.498	18.304	48.470	41.009	
TATA Infrastructure Fund- Regular Plan	24.27	44.24	18.76	32.98	35.97	23.47	29.71	25.87	24.27
% Gain		82.283	-22.703	35.888	48.208	-3.296	22.415	6.593	
Franklin India Bluechip Fund- Growth	132.85	194.09	100.65	185.69	228.32	186.66	236.66	246.31	132.85
% Gain		46.097	-24.238	39.774	71.863	40.504	78.141	85.405	
ICIC Prudential FMCG Fund- Growth	40.58	57.77	31.82	52.58	65.69	75.52	106.34	116.2	40.58
% Gain		42.361	-21.587	29.571	61.878	86.102	162.050	186.348	
Nippon India Growth Fund	270.05	471.73	216.49	427.35	500.78	363.55	501.04	488.66	270.05
% Gain		74.682	-19.833	58.248	85.440	34.623	85.536	80.952	
Franklin India Prima Fund	216.71	316.5	118.82	246.52	293.63	228.86	330.53	354.99	216.71
% Gain		46.048	-45.171	13.756	35.494	5.607	52.522	63.809	

2013-2020

Era of Inflation moving from high to low

GDP Growth rate declining from 6.40% to -7.96%.

Demonetization and a poorly designed and hastily implemented GST spread through an economy that was already struggling with massive bad loans in the banking system, the GDP growth rate steadily fell.

Declining Inflation from 11.06% to 6.62%

Low food Inflation, and sharp fall in oil prices in 2014-15, aids in managing high inflation.

Key Points of 2013-2020

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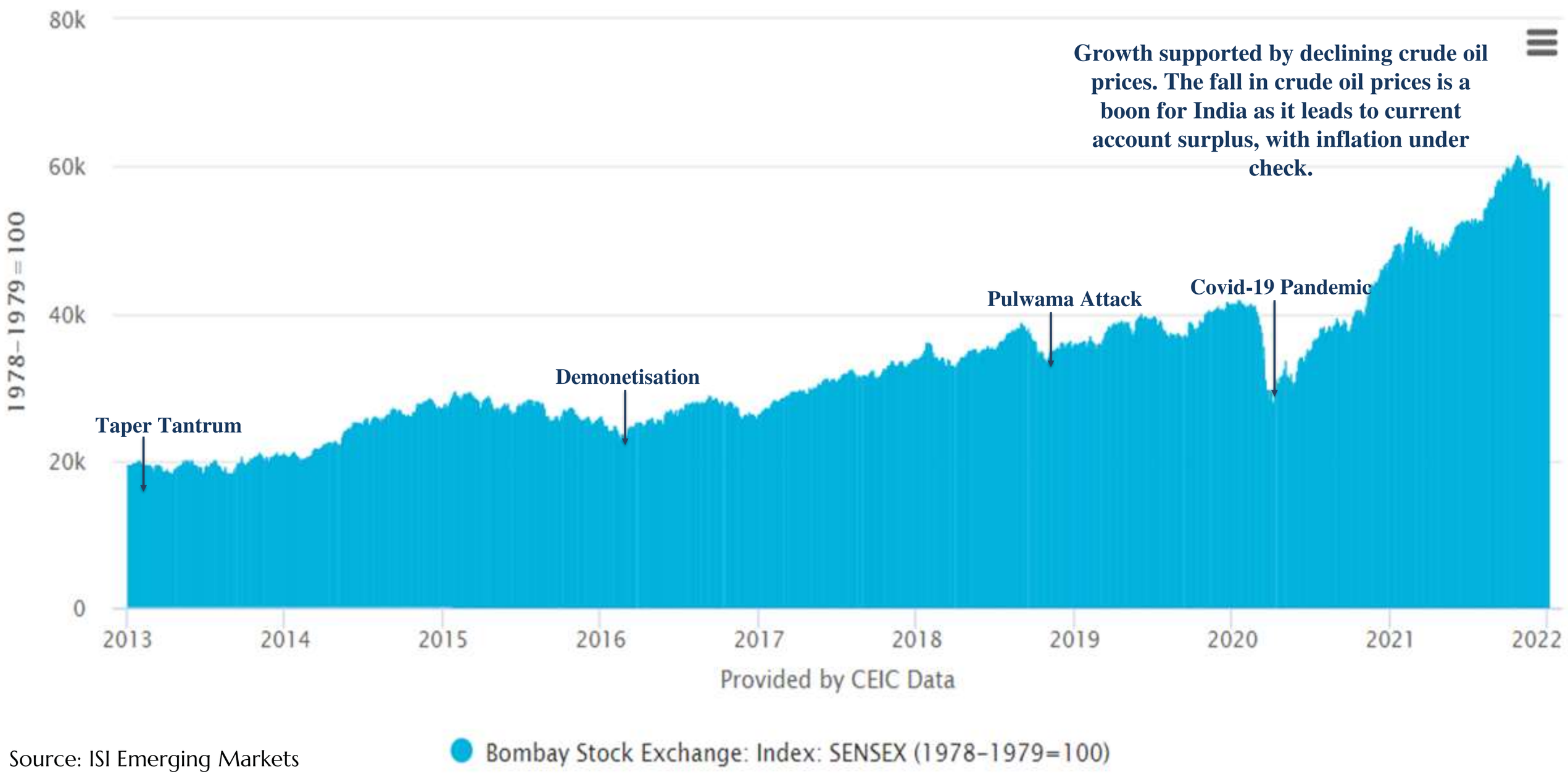
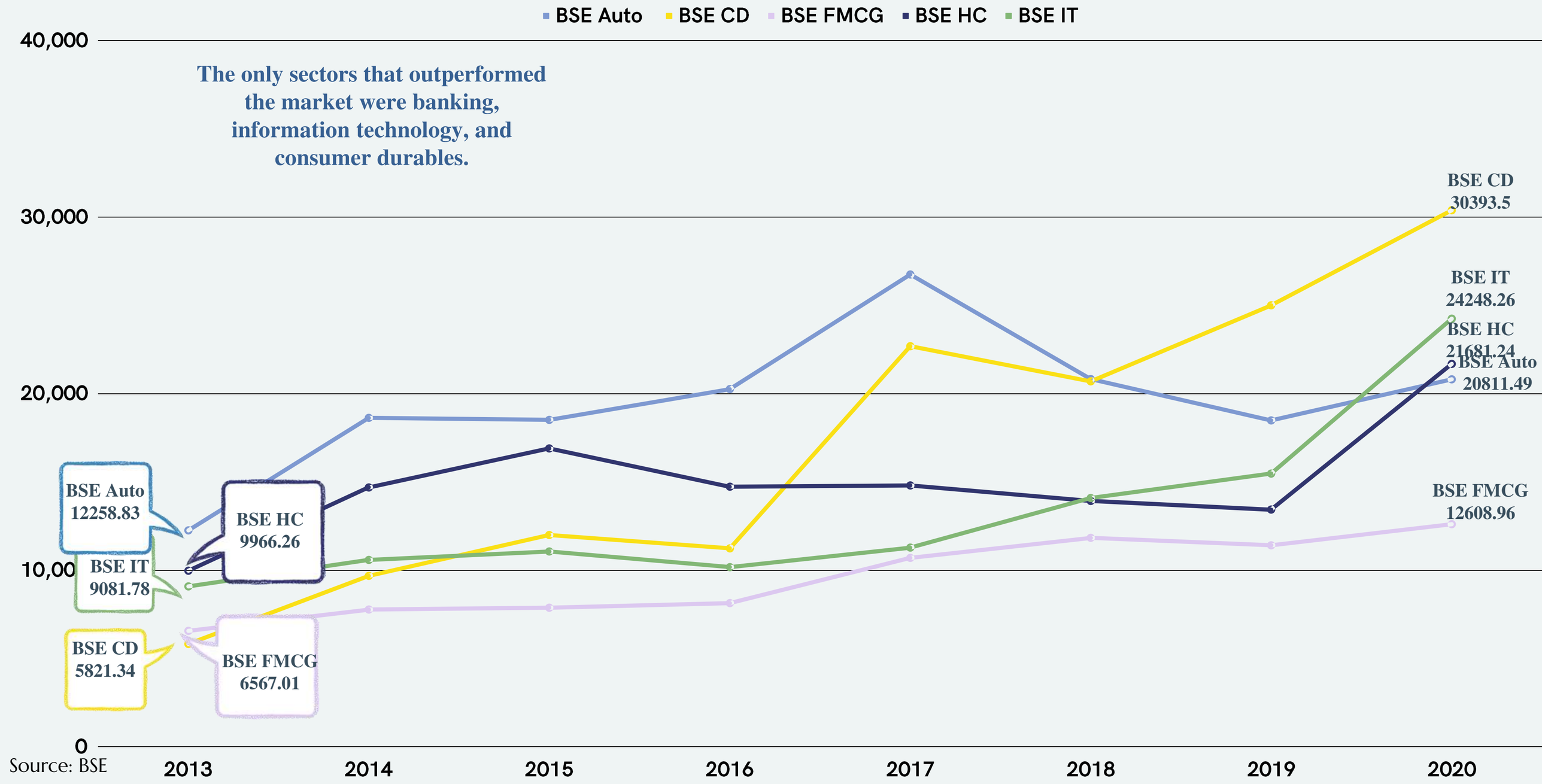
INFLATION From 11.06% to 6.62%	IIP INDEX From 1.10% to -0.80%	DISPOSABLE INCOME From 93.3Trill. to 185.35Trill.	CRUDE OIL PRICES From $97.98 to $39.68
GDP GROWTH From 6.40% to -7.3%	GOLD PRICE From 29600 to 48651	EXCHANGE RATE From 56.57 to 74.13	FOREX RESERVES From $292.05B to $477.81B
GFCF From 31% to 27%	CAD From -4.82% to -0.86%	FD RATE From 8.75-9% to 5.5%	MANUFACTURING OUTPUT From 15.25% to 12.96%
FISCAL DEFICIT From 4.90% to 3.30%	LENDING RATE From 10.29% to 9.15%	GROSS DOMESTIC SAVINGS From 32.10% to 28.90%	MARKET From 21170.68 to 47751.33

SENSEX



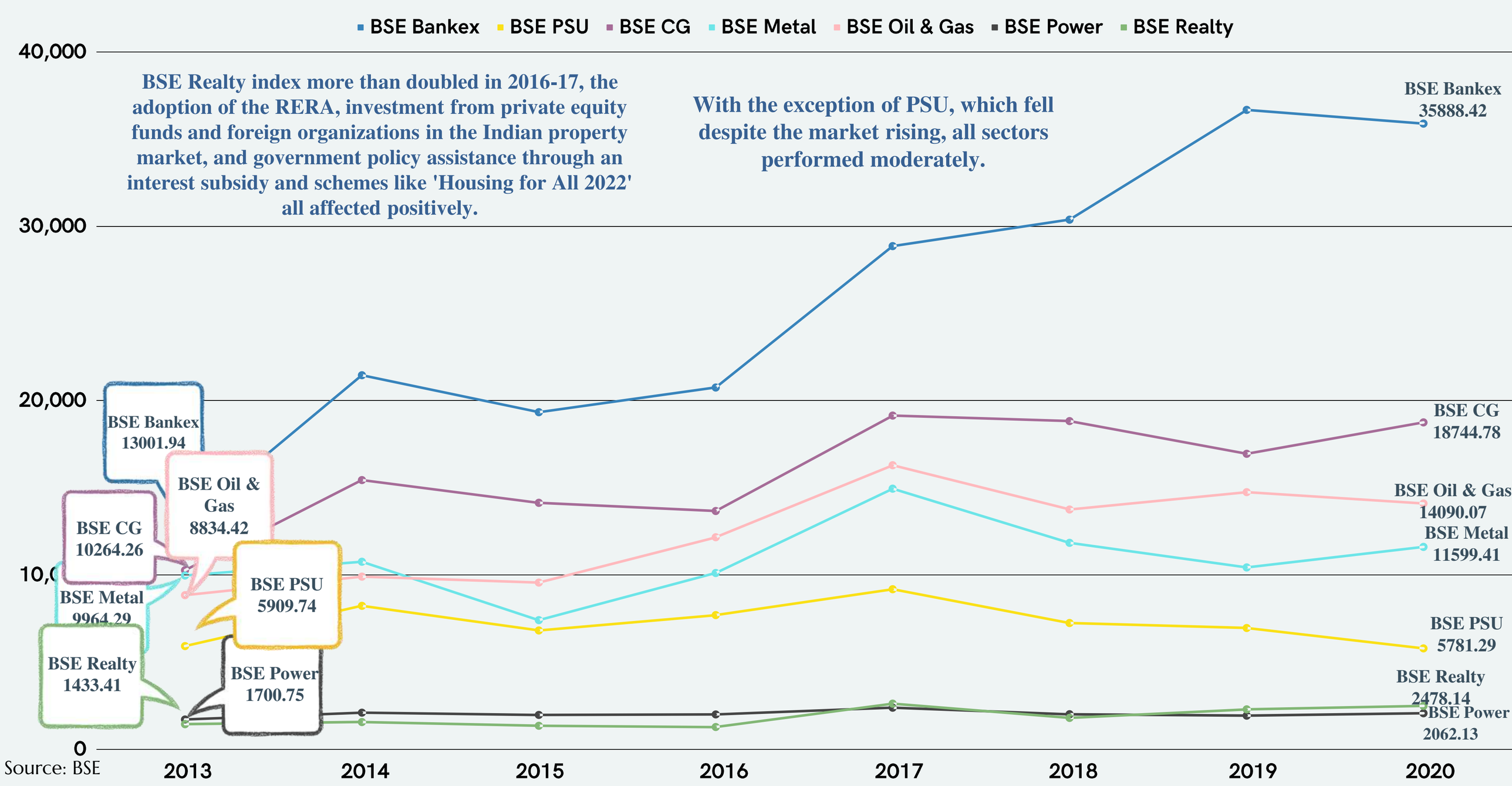
Source: ISI Emerging Markets

SECTORAL INDICES



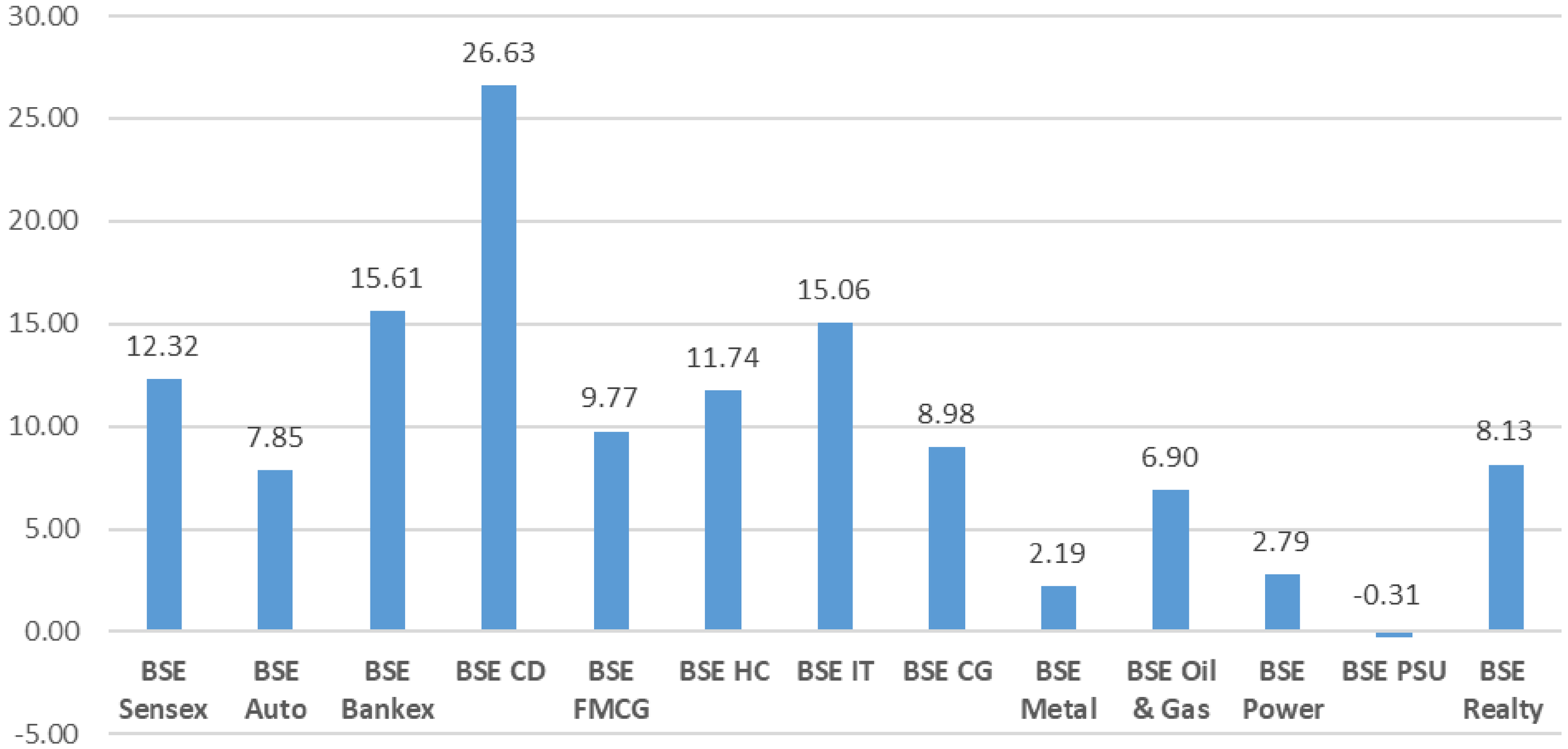
Source: BSE

SECTORAL INDICES



Source: BSE

CAGR % (2013-2020)



CONCLUSION

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DEFENSIVE SECTORS OUTPERFORM CYCLICAL SECTORS, WHEN INFLATION IS MOVING FROM HIGH TO LOW AND WHEN:

FISCAL DEFICIT ↘

DISPOSABLE INCOME ↗

FOREX RESERVES ↗

CRUDE OIL PRICES ↘

GDP GROWTH RATE ↘

IIP INDEX ↘

GROSS FIXED CAPITAL FORMATION ↘

Top Mutual Fund Schemes Performance

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	1st Jan, 2013	31st Dec, 2013	31st Dec, 2014	31st Dec, 2015	30th Dec, 2016	29th Dec, 2017	31st Dec, 2018	31st Dec, 2019	31st Dec, 2020	31st Dec, 2021	BASE (2013)
ICIC Prudential Infrastructure Fund	27.97	26.27	41.03	39.65	40.44	56.94	48.99	50.24	52.05	78.11	27.97
% Gain		-6.078	46.693	41.759	44.583	103.575	75.152	79.621	86.092	179.263	
TATA Infrastructure Fund- Regular Plan	29.86	25.87	42.2	42.14	44.36	63.08	53.17	54.67	60.71	93.22	29.86
% Gain		-13.362	41.326	41.125	48.560	111.253	78.064	83.088	103.315	212.190	
Franklin India Bluechip Fund- Growth	238.34	246.31	338.0004	344.81	367.04	463.6	447.02	470.51	534.83	710.04	238.34
% Gain		3.344	41.814	44.671	53.998	94.512	87.556	97.411	124.398	197.911	
ICIC Prudential FMCG Fund- Growth	106.97	116.2	153.92	161.5	163.11	221.11	236.72	247.26	271.35	324.27	106.97
% Gain		8.629	43.891	50.977	52.482	106.703	121.296	131.149	153.669	203.141	
Nippon India Growth Fund	505.37	488.66	756.801	804.84	833.108	1201.5	1070.55	1143.18	1395.28	2043.57	505.37
% Gain		-3.306	49.752	59.258	64.851	137.747	111.835	126.207	176.091	304.371	
Franklin India Prima Fund	333.17	354.99	632.4	675.47	732.58	1023.41	927.27	960.03	1130.72	1499.54	333.17
% Gain		6.549	89.813	102.740	119.882	207.174	178.317	188.150	239.382	350.083	

Reflection of the past in the present

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MACRO INDICATORS	2000-2008	2022 & beyond
INFLATION	Increasing (4.01%-8.35%)	Increasing (6.9%)
GDP GROWTH RATE	High (3.80%-7.70%)	High (8%)
IIP INDEX	Increasing (6.70%-11.50%)	11.5%
FISCAL DEFICIT	Declining (5.18%- 3.32%)	High (3.3%- 6.90%)
EXCHANGE RATE	44.94-41.35	74.13-76.49
CRUDE OIL PRICES	High ($30.38- $72.34)	$110 &_____
GOLD PRICE	Increasing (4400-10800)	Increasing (50800)
UNEMPLOYMENT	Moderate	Moderate
LENDING RATE	High (12.29%-13.02%)	Increasing (9.15%- 8.52%)
GROSS FIXED CAPITAL FORMATION	Increasing (26%-36%)	Increasing
CURRENT ACCOUNT DEFICIT	High	1.5% &_____
CAPACITY UTILISATION	High	Moderate
DISPOSABLE INCOME	High	Increasing
FOREX RESERVE	High ($38.04B -199.18B)	$597.72B &_____
BOND YIELD	10.8% to 7.79%	7.45% &_____
FD RATE	Increasing (6% to 7.5%)	5.25% &___
SENSEX	3970 - 20286	54800 &_____

Rewards of Long Term Investing

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	3rd Jan, 2000	31st Dec, 2020	31st Dec, 2021	CAGR%
Franklin India Bluechip Fund- Growth	55.29	534.83	710.04	12.9%
ICIC Prudential FMCG Fund- Growth	12.99	271.35	324.27	16.5%
Franklin India Prima Fund	38.11	1130.72	1499.54	19.1%
Nippon India Growth Fund	39.81	1395.28	2043.57	20.6%

Thank you!

Feel free to reach out to us if you have any questions.

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